INTRODUCTION

An analysis of a company's statement of cash flows provides crucial information for evaluating a company's financial position and for forecasting its future cash flows, which is foundational to the valuation of the company's debt and equity securities. This module discusses tools and techniques for analyzing the statement of cash flows, including the analysis of sources and uses of cash and cash flow, common-size analysis, and the calculation of free cash flow measures and cash flow ratios.

Learning Module Overview

- An evaluation of a cash flow statement involves an assessment of the sources and uses of cash and the main drivers of cash flow within operating, investing, and financing activities.
- Analyst can use common-size statement analysis for the cash flow statement by expressing cash flow items as a percentage of total cash inflows/total cash outflows or as a percentage of net revenues.
- The cash flow statement can be used to calculate free cash flow to the firm (FCFF) and free cash flow to equity (FCFE), which are important profit measures for investors.
- The cash flow statement may also be used to calculate financial ratios that measure a company's profitability, performance, and financial position. Analysts use these ratios to evaluate the company over time and to compare multiple companies.

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